

Helios Income Note 2007-B - Term Sheet & Notes

Arranger: Landon Brothers Structured Credit Desk

18 September 2006

INSTITUTIONAL CLIENTS ONLY

INDICATIVE TERMS

EXPECTED SETTLEMENT T+3

SATELLITE INCOME SLEEVE

1. Product Snapshot

TARGET YIELD

8.5%

Headline carry objective

SENIOR RATING

AAA-eq.

MINIMUM TICKET

\$5m

SETTLEMENT

T+3

Expected standard cycle

2. Term Sheet Summary

Item	Detail
Target yield	8.5%
Minimum ticket	\$5m
Senior tranche rating	AAA-equivalent / Stable
Expected settlement	T+3
Dealer indication	Regular secondary-market indications expected
Intended use	Satellite income sleeve

Distribution Status



Institutional clients only. The note is positioned as a senior-rated income instrument, not as a substitute for core cash reserves.

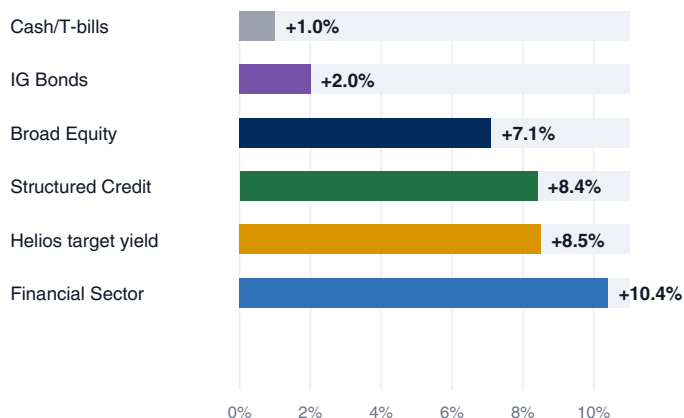
Dealer Indication



Regular secondary-market indications are expected; liquidity commitment language is addressed in the notes.

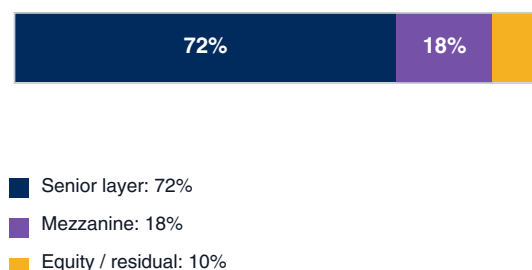
Market Context: YTD Return vs. New Note Yield

Phase 2 market data and product target yield (%)



Tranche Structure

Share of structure by layer



Supporting Schedule - Structure & Collateral

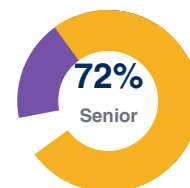
Helios Income Note 2007-B | Institutional term sheet extract

18 September 2006

3. Tranche Structure

Layer	Share	Risk position
Senior layer	72%	First priority cash flow
Mezzanine layer	18%	Absorbs losses after equity
Equity / residual layer	10%	First-loss position

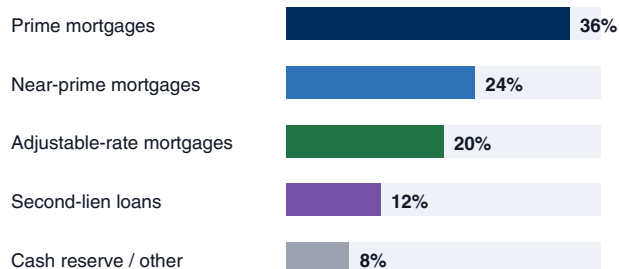
Seniority Visual



4. Collateral Composition

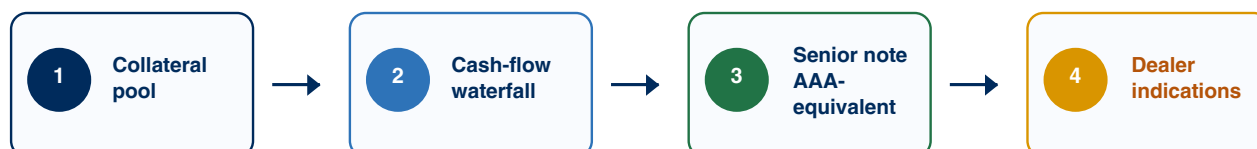
Collateral type	Share
Prime mortgages	36%
Near-prime mortgages	24%
Adjustable-rate mortgages	20%
Second-lien loans	12%
Cash reserve / other	8%

Collateral Composition

Mortgage-linked collateral pool mix


5. Product Mechanics

Deal Mechanics View

How the term sheet frames the product economics


Structure read-through

The headline safety story is built from senior priority, subordination and a cash reserve. The product still depends on collateral behavior, refinancing access and executable liquidity.

Supplemental Terms - Liquidity & Stress Schedule

Helios Income Note 2007-B / Institutional term sheet notes

18 September 2006

6. Liquidity & Stress Qualification Matrix

Term sheet area	Stated qualification	Implication to verify
Dealer liquidity	Indicative support only	Do not treat indications as committed cash
Stress history	No nationwide decline in calibration	Ask how severe housing scenarios are handled
Large blocks	Negotiated pricing	Execution depends on trade size and seller urgency
Rating basis	Refinancing access remains broad	Monitor refinancing access and surveillance timing

7. Review Items

1

Secondary-market indication

Regular dealer indications are expected, but support language remains indicative rather than committed.

2

Stress calibration scope

Base modeling references observed regional housing stress; a full nationwide housing-price decline is not included.

3

Block-sale execution

Large sales or urgent liquidations may require negotiated pricing and may differ from quoted indications.

4

Rating assumption

Senior-tranche stability assumes refinancing access remains broadly available for underlying borrowers.

General notes

[1] Dealer liquidity support: regular secondary-market indications are expected; support is indicative only and is not a binding commitment to purchase notes or maintain a market.

[2] Historical calibration: base-case modeling uses observed regional housing stress and does not include a full nationwide housing-price decline scenario.

[3] Block execution: large sales or urgent liquidations may require negotiated pricing; quoted indications may differ from executable levels.

[4] Senior-rating assumption: senior tranche stability assumes refinancing access remains broadly available and collateral servicing continues under standard procedures.